CONTRACT DATA

Part One – Data provided by the *Client*

OPTION X20

INCENTIVE SCHEDULE

PAY FOR SAFETY PERFORMANCE MERIT SCHEME (PFSPMS)

ASSESSMENT RULES FOR THE PERFORMANCE–TIED PAYMENT ITEMS

Preambles

a Rates appearing in the Schedule of Performance-tied Payment Items of the PFSPMS are pre-fixed and shall be deemed to allow for all cost and value for the *Contractor* in achieving the required performance including meeting all statutory and contractual obligations in the upkeeping of management in the execution of the *works* and any other related obligations, liabilities, risks and profit.

b The submission of the "Monthly Report on Safety Performance" by the *Contractor* and the acceptance of the *Supervisor* on the above Report are pre-requisites for assessment of the performance-tied payment items. No assessment shall be made in respect of any performance-tied payment items if they are not submitted by the *Contractor* in the above Report or if they are accepted by the *Supervisor*.

c For the purpose of assessment stated in these Assessment Rules:

"calendar month"	means any of the twelve portions into which a year is divided;
"calendar year"	means the period of 12 months commencing on 1 January and ending on 31 December;
"earliest *access date* of the Site"	means the earliest *access date* of the Site or any Portion or part thereof by the Contractor in accordance with Contract Data Part one;
"half calendar year"	means the time from and including the first day of January of the year to the last day of June of the same year or, as the case may be, from and including the first day of July of the year to the last day of December of the same year;
"last *section*"	means the *section* with the latest time for completion;
"PFSPMS"	means the Pay for Safety Performance Merit Scheme; and
"time for completion"	means the Completion Date prescribed by NEC Clause 11.2(3) or, where applicable, the amended Completion Date changed under NEC Clause 36 or delayed under NEC Clause 65.

d The quantities in the Schedule of Performance-tied Payment Items of the PFSPMS are provisional only. The final quantities shall be assessed in accordance with these Assessment Rules.

1. NO REPORTABLE ACCIDENTS IN A MONTH

Units

1 The unit of assessment shall be:

(i) no reportable accidents in a month ..... month.

Assessment

2 The first month to be included in the period to be assessed for this item shall commence on the earliest *access date* of the Site and end on the last day of the calendar month within which the earliest *access date* of the Site falls. The second month shall commence on the first day of the second calendar month and end on the last day of the second calendar month and the subsequent months shall run in a similar way. The last month to be included in the period to be assessed for this item shall end on the date six months after the time for completion of the *works* or if the *works* are divided into s*ection*s, the time for completion of the last s*ection* or on an earlier or later date notified by the *Supervisor* provided that such date shall not be earlier than the last date of the time for completion of the *works* or the last *section*, as the case may be. Any month which is not a complete calendar month shall be assessed proportionally as a fraction of the relevant calendar month. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

3 The item shall be assessed once only for each month when during the month, there is no reportable accident on the Site reported.

4 No assessment shall be made for this item if there is reportable accident on the Site reported in the month.

No reportable accidents in a month

5 The item for "no reportable accidents in a month" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

2. NO NOTICE OF SAFETY OR ENVIRONMENTAL PROSECUTION RECEIVED IN A MONTH

Units

6 The unit of assessment shall be:

(i) no notice of safety or environmental prosecution received in a month ..... month.

Assessment

7 The first month to be included in the period to be assessed for this item shall commence on the earliest *access date* of the Site and end on the last day of the calendar month within which the earliest *access date* of the Site falls. The second month shall commence from and including the first day of the second calendar month to the last day of the second calendar month and the subsequent months shall run in similar way. The last month to be included in the period to be assessed for this item shall end on the date six months after the time for completion of the *works* or if the *works* are divided into *section*s, the time for completion of the last *section* or an earlier or later date notified by the *Supervisor* provided that such date shall not be earlier than the last date of the time for completion of the *works* or the last *section*, as the case may be. Any month which is not a complete calendar month shall be assessed proportionally as a fraction of the relevant calendar month. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

8 The item shall be assessed once only for each month within which no notice of safety or environmental prosecution in respect of the *works* is received by the *Contractor*.

9 No assessment shall be made for this item for a month if notice of safety or environmental prosecution in respect of the *works* is received by the *Contractor* in the month.

No notice of safety or environmental prosecution received in a month

10 The item for "no notice of safety or environmental prosecution received in a month" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

3. SAFETY TRAINING (SILVER CARD) FOR SPECIFIED TRADE WORKERS COMPLIANCE

Units

11 The unit of assessment shall be:

(i) safety training (Silver Card) for specified trade workers compliance per month ..... month.

Assessment

12 The first month to be included in the period to be assessed for this item shall commence on the earliest *access date* of the Site and end on the last day of the same calendar month. The second month shall commence from and including the first day of the second calendar month to the last day of the second calendar month and the subsequent months shall run in similar way. The last month to be included in the period to be assessed for this item shall end on the date six months after the time for completion of the *works* or if the *works* are divided into *section*s, the time for completion of the last *section* or to an earlier or later date notified by the *Supervisor* provided that such date shall not be earlier than the last date of the time for completion of the *works* or the last *section*, as the case may be. Any month which is not a complete calendar month shall be assessed proportionally as a fraction of the relevant calendar month. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

13 The item shall be assessed once only for a month when the percentage of the number of Silver Card compliance over the total number of workers requiring Silver Card is larger than 90% on a date specified by the *Supervisor* during the month.

14 No assessment shall be made for this item for a month when the percentage of the number of Silver Card compliance over the total number of workers requiring Silver Card is less than or equal to 90% on the date specified by the *Supervisor* during the month.

Safety training (silver card) for specified trade workers compliance

15 The item for "safety training (silver card) for specified trade workers compliance" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

4. HALF-YEARLY REVIEW OF SAFETY PERFORMANCE – NOTICES FROM LABOUR DEPARTMENT(LD) IN HALF YEAR

Units

16 The unit of assessment shall be:

(i) half-yearly review of safety performance – notices from Labour Department (LD) in half year..... half year.

Assessment

17 The first half year to be included in the period to be assessed for this item shall commence on the earliest *access date* of the Site and end on the last day of the half calendar year within which the earliest *access date* of the Site falls. The second half year shall commence on the first day of the second half calendar year and end on the last day of the second half calendar year and the subsequent half years shall run in similar way. The last half year to be included in the period to be assessed for this item shall end on the date six months after the time for completion of the *works*, or if the *works* are divided into *section*s, the time for completion of the last *section* or on an earlier or later date notified by the *Supervisor* provided that such date shall not be earlier than the last date of the time for completion of the *works* or the last *section*, as the case may be. Any half year which is not a complete half calendar year shall be assessed proportionally as a fraction of the relevant half calendar year. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

18 If inspection(s) of the construction site is/are conducted by Labour Department (LD) in the concerned period, the item shall be assessed once only for each half year when during the half year, the *Contractor* has satisfied all of the following criteria in respect of the *works*:

(i) no Part I Inspection Notice is issued by LD;
(ii) not more than 5 Part II Inspection Notice is issued by LD; and
(iii) no Improvement Notice (IN) or Suspension Notice (SN) is issued by LD.

19 If no inspection of the construction site is conducted by LD in the concerned period, this item shall be assessed once.

20 No assessment shall be made for this item for any half year within which any of the criteria regarding Notices issued by Labour Department mentioned in the paragraph 18 above is not satisfied.

Half-yearly review of safety performance – notices from Labour Department in half year

21 The item for "half-yearly review of safety performance – notices from LD in half year" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

5. 12-MONTH ROLLING ACCIDENT FREQUENCY RATE FOR REPORTABLE ACCCIDENTS

Units

22 The unit of assessment shall be:

(i) 12-month rolling accident frequency rate for reportable accidents .....12-month rolling period

Assessment

23 In each 12-month rolling period within the period to be assessed for this item, all reportable accidents in the 12-month rolling period shall be included in the calculation of the total reportable accidents on the Site per total man-hours worked as the 12-month rolling accident frequency rate for reportable accidents for the 12-month rolling period. A 12-month rolling period within the period to be assessed for this item shall be assessed if its 12-month rolling accident frequency rate for reportable accidents is below the threshold of 0.25 per 100,000 man-hours worked. The period to be assessed for this item shall commence on the earliest *access date* of the Site and end on the date six months after the time for completion of the *works* or if the *works* are divided into *section*s, the time for completion of the last *section* or an earlier or later date notified by the *Supervisor* provided that such date shall not be earlier than the last date of the time for completion of the *works* or the last *section*, as the case may be. Any month which is not a complete calendar month shall not be included in any 12-month rolling period for calculation of the 12-month rolling accident frequency rate for reportable accidents for this item. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

24 The item shall be assessed once only for any 12-month rolling period of which the 12-month rolling accident frequency rate for reportable accidents is below 0.25 per 100,000 man-hours worked.

25 No assessment shall be made for this item for any period which is not a 12-month rolling period or for any 12-month rolling period of which the 12-month rolling accident frequency rate for reportable accidents is equal or higher than 0.25 per 100,000 man-hours worked.

12-month rolling accident frequency rate for reportable accidents

26 The item for "12-month rolling accident frequency rate for reportable accidents" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

6. YEARLY REVIEW OF SAFETY PERFORMANCE - NO FATAL ACCIDENT IN A YEAR

Units

27 The unit of assessment shall be:

(i) yearly review of safety performance - no fatal accident in a year ……. year

Assessment

28 The first year to be included in the period to be assessed for this item shall commence on the earliest *access date* of the Site and end on the last day of the calendar year within which the earliest *access date* of the Site falls. The second year shall commence on the first day of the second calendar year and end on the last day of the second calendar year and the subsequent years shall run in similar way. The last year to be included in the period to be assessed for this item shall end on the date six months after the time for completion of the *works*, or if the *works* are divided into *section*s, the time for completion of the last *section* or an earlier or later date notified by the *Supervisor* provided that such date shall not be earlier than the last date of the time for completion of the *works* or the last *section*, as the case may be. Any year which is not a complete calendar year shall be assessed proportionally as a fraction of the relevant calendar year. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

29 The item shall be assessed once only for each year when during the year, no fatal accident on the Site is reported.

30 No assessment shall be made for this item for a year if fatal accident on the Site is reported during the year.

Yearly review of safety performance - no fatal accident in a year

31 The item for "yearly review of safety performance - no fatal accident in a year" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

7. ACHIEVEMENT IN SAFETY CAMPAIGNS ORGANIZED BY DEVELOPMENT BUREAU

Units

32 The units of assessment shall be:

(i) Considerate Contractors Site Award (CCSA)..... number

(ii) Outstanding Environmental Management Performance Award (OEMPA).....number

(iii) No CCSA under CCSAS – assessment for level 1 assessment.....%

(iv) No OEMPA under CCSAS – assessment for level 1 assessment.....%

Assessment

33 The number (nr) to be assessed for "Considerate Contractors Site Award (CCSA)" under the Considerate Contractors Site Award Scheme (CCSAS) shall be within the period commencing on the earliest *access date* of the Site and ending on the last date of the time for completion of the *works* or if the *works* are divided into *section*s, the last date of the time for completion of the last *section* or to a later date notified by the *Supervisor*. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

34 The item "Considerate Contractors Site Award (CCSA)" shall be assessed once for each CCSAS participated by the *Contractor* if the *Contractor* completes the CCSAS with achievement of either gold award, silver award, bronze award or merit award of CCSA in the CCSAS.

35 No assessment shall be made for "Considerate Contractors Site Award (CCSA)" for the CCSAS participated by the *Contractor* where the *Contractor* has not achieved any of the gold, silver, bronze or merit awards of CCSA in the CCSAS.

36 The number (nr) to be assessed for "Outstanding Environmental Management Performance Award (OEMPA)" under the CCSAS shall be within the period commencing on the earliest *access date* of the Site and ending on the last date of the last date of the time for completion of the *works* or if the *works* are divided into *section*s, the last date of the time for completion of the last *section* or to a later date notified by the *Supervisor*. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

37 The item "Outstanding Environmental Management Performance Award (OEMPA)" shall be assessed once for each CCSAS participated by the *Contractor* if the *Contractor* completes the CCSAS with achievement of either gold award, silver award, bronze award or merit award of OEMPA in the CCSAS.

38 No assessment shall be made for "Outstanding Environmental Management Performance Award (OEMPA)" for the CCSAS participated by the *Contractor* where the *Contractor* has not achieved any of the gold, silver, bronze or merit awards of OEMPA in the CCSAS.

39 The percentage (%) to be assessed for "No CCSA under CCSAS – assessment for level 1 assessment" shall be within the period commencing on the earliest *access date* of the Site and ending on the last date of the time for completion of the *works* or if the *works* are divided into *section*s, the last date of the time for completion of the last *section* or to a later date notified by the *Supervisor*. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

40 The item "No CCSA under CCSAS – assessment for level 1 assessment" shall be assessed once for each CCSAS participated by the *Contractor* based on the percentage of number of achievement of level 1 assessments by the *Contractor* per total number of assessments for each CCSAS participated by the *Contractor* when the *Contractor* does not achieve any award under the same CCSAS participated by the *Contractor*. Level 1 assessment refers to the assessment sheet of the CCSAS with level 1 being the highest rating for each item.

41 No assessment shall be made for "No CCSA under CCSAS – assessment for level 1 assessment" for the CCSAS participated by the *Contractor* where the *Contractor* has achieved any of the gold, silver, bronze or merit awards of CCSA under the same CCSAS participated by the *Contractor*.

42 The percentage (%) to be assessed for "No OEMPA under CCSAS – assessment for level 1 assessment" shall be within the period commencing on the earliest *access date* of the Site and ending on the last date of the time for completion of the *works* or if the *works* are divided into *section*s, the last date of the time for completion of the last *section* or to a later date notified by the *Supervisor*. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

43 The item "No OEMPA under CCSAS – assessment for level 1 assessment" shall be assessed once for each CCSAS participated by the *Contractor* based on the percentage of number of achievement of level 1 assessments by the *Contractor* per total number of assessments for each CCSAS participated by the *Contractor* when the *Contractor* does not achieve any OEMPA under the same CCSAS participated by the *Contractor*. Level 1 assessment refers to the assessment sheet of the CCSAS with level 1 being the highest rating for each item.

44 No assessment shall be made for "No OEMPA under CCSAS – assessment for level 1 assessment" for the CCSAS participated by the *Contractor* where the *Contractor* has achieved any of the gold, silver, bronze or merit awards of OEMPA under the same CCSAS participated by the *Contractor*.

Considerate Contractors Site Award (CCSA)

45 The item for "Considerate Contractors Site Award (CCSA)" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

Outstanding Environmental Management Performance Award (OEMPA)

46 The item for "Outstanding Environmental Management Performance Award (OEMPA)" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

no CCSA under CCSAS – assessment for level 1 assessment

47 The item for "no CCSA under CCSAS – assessment for level 1 assessment" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

no OEMPA under CCSAS – assessment for level 1 assessment

48 The item for "no OEMPA under CCSAS – assessment for level 1 assessment" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

8. FINAL REVIEW OF SAFETY PERFORMANCE

Units

49 The units of assessment shall be:

(i) no fatal accident.....item

(ii) cumulative accident frequency rate for reportable accidents.....item

Assessment

50 The period covered by "no fatal accident" shall be the time commencing on the earliest *access date* of the Site and ending on the date six months after the time for completion of the *works* or if the *works* are divided into *section*s, the time for completion of the last *section* or an earlier or later date notified by the *Supervisor* provided that such date shall not be earlier than the last date of the time for completion of the *works* or the last *section*, as the case may be. This item shall be assessed in the final review if no fatal accident on the Site is reported during the above mentioned period of time. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

51 The period covered by "cumulative accident frequency rate for reportable accidents" shall be the time commencing on the earliest *access date* of the Site and ending on the date six months after the time for completion of the *works* or if the *works* are divided into *section*s, the time for completion of the last *section* or an earlier or later date notified by the *Supervisor* provided that such date shall not be earlier than the last date of the time for completion of the *works* or the last *section*, as the case may be. This item shall be assessed in the final review if the cumulative accident frequency rate for reportable accidents on the Site reported is below 0.25 per 100,000 man-hours worked during the above period of time in the final review. No assessment shall be made for this item for any time before or after the above mentioned period to be assessed for this item.

52 No assessment shall be made for "no fatal accident" if there is fatal accident record reported during the above mentioned period of time in the final review.

53 No assessment shall be made for "cumulative accident frequency rate for reportable accidents" if the cumulative accident frequency rate for reportable accidents on the Site reported is above or equal to 0.25 per 100,000 man-hours during the above mentioned period of time in the final review.

No fatal accident

54 The item for "no fatal accident" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

Cumulative accident frequency rate for reportable accidents

55 The item for "cumulative accident frequency rate for reportable accidents" shall include for:

Item coverage

(a) all efforts, costs, expenses, loss or profit provided, incurred or allowed by the *Contractor* for striving to achieve the performance required by this item.

Schedule of Performance tied Payment Items of the PFSPMS

Performance-tied payment items					
Item No.	**Description of Payment items on performance indicators**	**Quantity**	**Unit**	**Rate (HK$)**	**Amount (HK$)**
1	No reportable accidents in a month	20	Month	2,000	40,000*
2	No notice of safety or environmental prosecution received in a month	20	Month	2,000	40,000*
3	Safety training (Silver Card) for specified trade workers compliance per month Payment to be made if: no. of Silver Card compliance/ total no. of workers requiring Silver Card > 90% on a date specified by the *Supervisor* during the month	20	Month	1,000	20,000*
4	Half-yearly review of safety performance – notices from Labour Department (LD) Payment to be made if there is:- - No Part I Inspection Notice (note 1) from LD; - Not more than 5 Part II Inspection - Notice (note 1) from LD; - No Improvement Notice or Suspension Notice from LD in half year	3.3	Half-year	12,360	40,788*
5	12-month rolling accident frequency rate for reportable accidents below 0.25 per 100,000 man-hours worked	9	12-month rolling period	6,800	61,200*
6	Yearly review of safety performance - no fatal accident in a year	1.7	year	36,000	61,200*
7	Achievement in safety campaigns organized by Development Bureau #				
	(i) Considerate Contractors Site Award (CCSA**)				
	(a) Obtaining gold award	2	nr	12,000	24,000*
	(b) Obtaining silver award	2	nr	9,600	19,200
	(c) Obtaining bronze award	2	nr	7,200	14,400
	(d) Obtaining merit award	2	nr	4,800	9,600

Performance-tied payment items					
Item No.	**Description of Payment items on performance indicators**	**Quantity**	**Unit**	**Rate (HK$)**	**Amount (HK$)**
	(ii) Outstanding Environmental Management Performance Award (OEMPA^)				
	(a) Obtaining gold award	2	nr	4,500	9,000*
	(b) Obtaining silver award	2	nr	4,000	7,200
	(c) Obtaining bronze award	2	nr	3,000	5,400
	(d) Obtaining merit award	2	nr	2,000	3,600
	(iii) No CCSA under CCSAS – assessment for level 1 (note 2) assessment:	200	%	2,400	4,800
	(iv) No OMEPA under CCSAS – assessment for level 1 (note 2) assessment:	200	%	900	1,800
8	Final review of safety performance in respect of:				
	(i) no fatal accident	-	item	-	20,000*
	(ii) cumulative accident frequency rate for reportable accidents below 0.25 per 100,000 man-hours worked	-	item	-	20,000*
				Total	336,188 Δ

Notes:

The CCSA and OEMPA are awards under annual Considerate Contractors Site Award Scheme (CCSAS) organized by DEVB. An award can be achieved for each calendar year started usually from the first day of the year to the last day of the year.

** The *Contractor* can only obtain either gold award, silver award, bronze award, merit award or no award of CCSA under CCSAS each year.

^ The *Contractor* can only obtain either gold award, silver award, bronze award, merit award or no award of OEMPA under CCSAS each year.

Δ Total of payment items marked with *.

1. Part I Inspection Notice and Part II Inspection Notice refer to the requirements tabulated in Part I and Part II of the Site Inspection Report issued by the Labour Department.
2. Level 1 assessment refers to the assessment sheet of the CCSAS for CCSA and OMEPA respectively with level 1 being the highest rating for each item.
3. The following 'Assessment Rules for the Performance-tied Payment Items of the PFSPMS' shall apply to the assessment of all PFSPMS items.
4. Where assessment of a PFSPMS item is subject to inspections, notices, etc. of another Department and the other Department does not undertake such inspections or issue such notices, etc. the *Client* does not warrant that any or all of the relevant PFSPMS items in the incentive schedule shall become payable under secondary Option X20, Key Performance Indicators.

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